

Awards, Adgully Digixx, Afaqs Marketers Xcellence among others.

### **What steps have you taken to evolve into a digital-first organization?**

With near-universal mobile phone penetration in the country, digital and social media are hotspots to connect with consumers. Digital and social media delivers higher efficiency on account of ability to target basis geography and audience profiles. We will want to evolve to a digital-first company and continuously engage with our consumers through a mix of relevant content and appropriate targeting.

### **ABD was the first ever in the Indian alcohol industry to build on the Metaverse. Why?**

ABD India forayed into metaverse in the form of 'ABD Metabar' – an immersive virtual reality space housing digital displays of its lead offerings. Yes, we are the first alcohol beverage company in India to build a metaverse presence and launch new products therein, ahead of their physical launches. It's interesting and shows our thinking that we are not worried about competition blocking our retail space or getting to know in advance our brand look and delivery. We are confident in our business and want the interested to see us first on a futuristic space which is amorphous and still taking shape.

With its futuristic design, the ABD MetaBar, optimized for both mobile and desktop usage, taps into the growing interest in the metaverse amongst consumers and their willingness to experiment with novel digital activations. Moving forward, the ABD MetaBar will evolve to allow for interactions with users and serve as a gateway for curated online experiences in consumer interest areas of fun, design, music, gaming, and performing arts.

### **How do you see the growth of Spirits in India?**

India is one of the fastest growing alcohol beverage markets in the world. \* Relatively low per capita consumption coupled with positive demographics, with more than 10 million people added each year to the legal drinking age make India an attractive market. We've grown from a small base of 1.3 litres per capita of recorded consumption of pure alcohol in calendar year 2005 to 2.7 litres per capita consumption in calendar year 2010 and further to 3.0 litres per capita consumption in calendar year 2020. (\*Source: Technopak Report)

Greater social acceptance for drinking with nuclear families, younger and liberal parenting, more financially independent women consuming Spirits, and the urbanization of India has helped grow the acceptability and size of the industry. Of course, higher disposable income, and a growing economy are driving consumption as well as premiumisation in the country.

### **What are ABD's plans for participation in the growth?**

ABD is well placed to grow ahead of the industry in the high single digits in the next few years.

### **How do you see your approach to the mass segment with Officer's Choice?**

Officer's Choice is the third-largest whisky brand in the world and one of the largest to be exported from India. (Technopak report 2022). ABD will continue to be strongly interested in the mass-premium segment and will drive higher share and sales. We know that people aspire at every consuming class and Officer's Choice allows a relatively lower income person the ability to access a top-class segment blend, of consistent quality and smart packaging. In fact, we've added value in the past year by adding Scotch to our blend and delivering a better experience for our consumers.

Officer's Choice is at the entry gate for millions aspiring to up-trade to safe branded spirits of great quality from country spirits or coming into the consuming class with legal drinking age. We have changed the positioning of Officer's Choice to an active and fun space for a choice of the young adult.

The mass premium segment constituted approximately 31% of the total IMFL market in India in Fiscal 2021. Officer's Choice Whisky is the market leader in the mass premium segment with a market share of 23% in terms of annual sales volumes in Fiscal 2021. (Source: Technopak Report)

### **In a strongly regulated industry like alcohol beverage does the scale of ABD act as an entry barrier for competition?**

ABD is the largest Indian and independent company in the IMFL Spirits business. We are the third largest in IMFL after two global multi-nationals. We are one of four spirits organisations with a national footprint for sales and distribution.

The alcohol beverage industry in India is complex with regulations. It still remains outside the purview

of GST. Every state is like a country, each with its own levies and taxes. The state Governments charge import and export pass fee depending on source state and consuming state. Therefore, it is important to have bottling operations in all major states to cater locally. To be a significant player, organisations require large scale of operations, multiple units across various states, a strong distribution network, the ability to deliver products cost-efficiently while maintaining product quality to match consumer expectations. We have 30 manufacturing units, either owned, leased, or tie-ups.

### **Do you have any line extensions which work well for you?**

Yes, we have a packaged drinking water business with Officers Choice, Officers Choice Blue and Sterling Reserve. The products are available in multiple states and are doing well.

### **Could you please elaborate on the recent new product launches?**

I have already mentioned the innovations for Srishti Premium Whisky and Sterling Reserve Whisky Cola mix. In the past couple of months, we have launched multiple new brands in mainline categories as well.

1. ICONiQ White International Grain Whisky is a delightful blend of imported Scotch malts aged in bourbon oak casks, blended with select matured malt and finest Indian grain spirits. It is a contemporary whisky blend packaged and positioned to appeal to the young adult. This product is currently available in Assam, Uttar Pradesh, Punjab, and we will be extending its launch to 5 other states in the next couple of months.

2. X&O Barrel Premium Whisky is a premium blend of best Scotch malts matured in American bourbon barrels and finest Indian grain spirits. The name 'X&O' comes from the millennial short code of X (kisses) and O (hugs) that comprises elements like intimacy, warmth, passion, and friendship.

